

A citizen's commitment to the country could amount to anything. It could be by finding a political voice against a rampaging civic administration, exercising our vote or even encouraging private enterprise that deals with social inequities as a business and not through charity. After all, as Janaagraha's Swati Ramanathan writes, "We live in a country that demands so little from our citizens." The least we can do is perform our civic duty. Only then can we make a fortune at the bottom of the pyramid.

The private sector must use its resources to deal with the poor as **CONSUMERS, NOT BURDENS**; as entrepreneurs, not victims

Societies have always searched for an ideology and an institutional framework to balance collective and private interests. In the last century, this struggle played out as a confrontation between two clearly defined ideologies—communism and capitalism. Capitalism may have won, but capitalists themselves have started re-examining how to adapt themselves to the 21st Century. The question of how to create prosperity and social justice is at the heart of this debate. This time, the debate is not across the aisle but within the party. Capitalism is re-examining its focus towards creating solutions for larger social problems.

Capitalism is built on a few key principles:

- ▶ Entrepreneurship, innovation, investment and organisation are at the heart of capitalism.
- ▶ Investors, who finance the ideas of entrepreneurs to create businesses, deserve to benefit with returns commensurate with risks.
- ▶ Private property and the rule of law are paramount in such a system.
- ▶ Private enterprise, in a system of transparent transactions, can benefit consumers and provide incentives for business.
- ▶ Capitalism is usually associated with participative democracy.

No one really questions these basic premises any longer. The practice of capitalism, however, has not been without problems, and must adapt itself to address these issues. Does capitalism shortchange consumers, employees, suppliers, and communities? Does it care

about the poor and the disadvantaged? These are legitimate questions. There have been many attempts to cope with these questions such as the triple bottom line. Recently, Bill Gates suggested that we should focus on creative capitalism that explicitly recognises the four billion poor and develops market-based solutions to help them. This has led to attacks from two sides—those who believe that this is not the private sector's job and those who believe that this is one more attempt on the part of capitalists to impose their will on the poor. There may be more value in finding a "middle of the road" view that can provide economically viable solutions to social problems than engage in partisan debates. The debate must focus on solutions, not ideology.

If we stop thinking of the poor as victims and start recognising them as resilient and creative entrepreneurs and value-conscious consumers, a whole world of opportunities will open up. This is a call for the private sector to use its creativity and resources to deal with rampant social inequities. The focus should be on dealing with social inequities as a business and not through charity. Profitable businesses usually grow and sustain themselves. On the contrary, many governmental initiatives are subject to change with changes in government. We know that the alternatives have not worked very well. Worldwide, aid and subsidies have proven to be mostly ineffective. Most importantly, subsidies create dependence and rob people of dignity. The direction of philanthropy changes often and

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THE AMOUNT THAT THE BILL AND MELINDA GATES FOUNDATION DONATED TO VARIOUS CHARITIES TO HELP WITH THE TSUNAMI AID EFFORT.

A mighty heart: Bill and Melinda Gates at a slum in Delhi in 2005

Reaching Out

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